

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

RESPONDENT CMA CGM S.A.'S PROPOSED FINDINGS OF FACT

Respondent CMA CGM S.A. (“CMA”), by counsel, hereby submits the following Proposed Findings of Fact (“RPFFs”) and states as follows:

In accordance with the deadlines established in the Revised Scheduling Order, CMA submits the following RPFFs in conjunction with its Opposition Brief and Appendix. CMA reserves the right to amend or supplement these RPFFs should additional discovery be conducted or if Complainants are granted leave to file an Opening Brief, Proposed Findings of Fact, and Appendix.

The Parties

- RPFF1. CMA is a *société anonyme* existing under the laws of the Republic of France with a principal place of business at Boulevard Jacques Saade, 4 Quai d’Arenc, 13002 Marseille, France. FMC Doc. 8, p. 1-2.
- RPFF2. CMA’s agent in the United States is CMA CGM (America) LLC (“CCA”) with offices at 1 Meadowlands Plaza, Suite 201, East Rutherford, NJ 07073 and 1 CMA CGM Way, Norfolk, VA 23502. *Id.* at p. 2.
- RPFF3. Complainant Impact Products, LLC is a corporation located at 2840 Centennial Road, Toledo, OH 43617. FMC Doc. 1, p. 2.
- RPFF4. Complainant Safety Zone, LLC is a corporation located at 385 Long Hill Rd., Guilford, CT 06437. *Id.*

RPFF5. Supply Source is the parent company of Impact Products, LLC and Safety Zone, LLC, and is a shipper pursuant to 46 U.S.C. 40102(23). *Id.*

The Bankruptcy Proceeding

RPFF6. Complainants filed their Complaint in this case on February 14, 2024. *Id.* at pg. 1.

RPFF7. On May 21, 2024, Complainants filed for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Delaware. FMC Doc. 21, p. 3.

RPFF8. In the bankruptcy proceeding, Complainants filed a number of schedules and statements in which they were required to list all their assets and liabilities. *Id.* at Exs. 1-6.

RPFF9. The instant FMC case was not identified in these schedules and statements nor was the alleged assignment of this case from Laufer to Complainants. *Id.*

RPFF10. On June 20, 2024, the Bankruptcy Court entered an Order approving the Motion for the Sale of Assets and setting procedures and deadlines for selling all Complainants assets with a stalking horse bidder identified as TZ SSE Buyer, LLC (“TZ SSE”). *Id.* at Ex. 7.

RPFF11. On July 10, 2024, the Bankruptcy Court entered an Order Approving Sale of Assets, which approved the sale of assets to TZ SSE on the terms in the previous Order. *Id.* at Exs. 8-9.

The Contracts

RPFF12. CMA entered into service contracts with Laufer Group International Ltd. (“Laufer”), a Non-Vessel Operating Common Carrier (“NVOCC”), to include the following: Service Contract #20-2959, as amended; Service Contract #20-4320, as amended; Service Contract #21-4320, as amended; Service Contract #21-4388, as

amended; Service Contract #22-4668, as amended; and Service Contract #21-1495, as amended (collectively, “Service Contracts”). FMC Doc. 17, Exs. 1-6. (Confidential Documents).

RPFF13. Under the Service Contracts, Laufer booked a number of shipments for 2021 and 2022 to be carried on CMA vessels from ports outside the United States to ports inside the United States. *Id.*; RX6-142. (Confidential Documents).

RPFF14. Laufer additionally booked two shipments under CMA’s TA-IndaMex2021 tariff and one under a CMA service contract with another NVOCC, THI Group (Shanghai) Ltd. FMC Doc. 17, Ex. 7.

RPFF15. The Service Contracts contain identical prohibitions on assignments which state, “Merchant may not assign this Contract, including any or all rights or liabilities hereunder, or to otherwise permit any other person or entity, directly or indirectly to utilize services, rates, or other terms provided by Carrier hereunder, without the prior written consent of Carrier.” FMC Doc. 17, Exs. 1-6. (Confidential Documents).

RPFF16. At no point was there a Service Contract between CMA and Complainants. *Id.*; RX147-168.

The Charges

RPFF17. Laufer was invoiced for and paid the charges on all shipments at issue in this dispute. RX176-245. (Confidential Documents).

RPFF18. CMA’s invoices to Laufer contain the following information regarding the charges at issue: the container number, the type of container, the amount of free days, the type of tariff, the start and end date of the dates to be charged, the total amount of

billable days, the rate used, the invoice amount, the service contract number, and the total charge. *Id.* (Confidential Documents).

RPFF19. Laufer paid a total of \$156,945.00 to CMA for 68 detention and demurrage charges. RX169-175. (Confidential Documents).

RPFF20. Laufer paid all invoices to CMA *Id.* (Confidential Documents).

RPFF21. Complainants did not receive demurrage or detention invoices from CMA. RX147-168; RX176-245 (Confidential Documents).

RPFF22. Complainants never paid any amount to CMA. RX169-175

The Shipments were subject to CMA's Tariff and CMA's Terms and Conditions

RPFF23. The Service Contracts provide, "all shipments moving hereunder shall be subject to all other rules, terms, conditions, charges and surcharges set forth in Carrier's governing tariff(s) and in effect at the time of shipment." FMC Doc. 17, Exs. 1-6. (Confidential Documents).

RPFF24. In accordance with the Service Contracts, "detention and demurrage free time and per diem charges for shipment made under this Contract shall be applied as per Carrier's governing tariff(s)." *Id.* (Confidential Documents).

RPFF25. The demurrage and detention costs charged to Laufer were calculated in accordance with CMA's Service Contracts and governing tariff. *Id.*; RX143-146 (Confidential Documents).

RPFF26. CMA's governing tariff provides that all containers held after discharge will be subject to free time and demurrage. RX143-146.

Complainants' Lack of Standing

- RPFF27. Complainants did not enter into any agreement with CMA regarding the shipments at issue. FMC Doc. 17, Exs. 1-6; RX147-168 (Confidential Documents).
- RPFF28. Complainants never made a payment to CMA. RX169-245. (Confidential Documents).
- RPFF29. Laufer was not acting as a conduit to pass charges it received from CMA onto Complainants. FMC Doc. 17, Exs. 1-6 (Confidential Documents).

Date: October 18, 2024

Respectfully submitted,

/s/ K. Barrett Luxhoj

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CERTIFICATE OF SERVICE

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